

17
No. 95-83



In the Supreme Court
of the
United States

OCTOBER TERM, 1995

Alan Meghrig and Margaret Meghrig,
Petitioners,

vs.

KFC Western, Inc.,
Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Ninth Circuit

BRIEF FOR THE PETITIONERS

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QUESTIONS PRESENTED

The citizen suit provision of the Resource Conservation and Recovery Act ("RCRA") gives federal district courts limited jurisdiction: (1) to "restrain" any person who has contributed or is contributing to the handling of a solid or hazardous waste which endangers human health or the environment and (2) to "order such person to take such other action as may be necessary." The Ninth Circuit Court of Appeals has held that this provision authorizes a citizen plaintiff to pursue a claim for reimbursement of past costs expended in cleaning up property contaminated with solid or hazardous waste.

The same RCRA citizen suit provision authorizes an action only where a solid or hazardous waste "may present an *imminent* and substantial endangerment to health or the environment." The Ninth Circuit has also held that a citizen suit may be commenced several years after the waste has been fully cleaned up, notwithstanding the "imminent and substantial endangerment" language of the statute.

The questions presented for review are:

1. Whether the citizen suit provision of RCRA authorizes a private party to bring an action for reimbursement of past cleanup costs.
2. Whether the citizen suit provision of RCRA permits an action to be pursued where the solid or hazardous waste was fully remediated prior to commencement of the suit.

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BRIEF FOR THE PETITIONERS

OPINIONS BELOW

The opinion of the Court of Appeals for the Ninth Circuit (Pet. App. A1-A20) is reported at 49 F.3d 518. The order of the Court of Appeals (Pet. App. A26) denying the Meghrigs' petition for rehearing is unreported. The order and opinion of the District Court dismissing the action (Pet. App. A21-A23) is unreported.

JURISDICTION

The judgment of the Ninth Circuit Court of Appeals was entered on March 1, 1995. A timely petition for rehearing was denied on April 14, 1995. The petition for writ of certiorari was filed on July 13, 1995, and was granted on September 27, 1995. The jurisdiction of this court rests on 28 U.S.C. § 1254(1).

STATUTORY PROVISION INVOLVED

Title 42, United States Code, § 6972(a)(1)(B), provides, in pertinent part, that:

"Except as provided in subsection (b) or (c) of this section, *any person may commence a civil action on his own behalf--*

(1)(A) ***

(B) *against any person, including the United States, and any other governmental instrumentality or agency, to the extent permitted by the eleventh amendment to the Constitution, and including any past or present generator, past or present transporter, or past or present owner or operator of a treatment, storage, or disposal facility, who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste which may present an imminent and substantial endangerment to health or the environment;*

The district court shall have jurisdiction, without regard to the amount in controversy or the citizenship of the parties ... to restrain any person who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste referred to in paragraph (1)(B), to order such person to take such other action as may be necessary, or both, or to order the Administrator to perform the act or duty referred to in paragraph (2), as the case may be, and to apply any appropriate civil penalties under section 6928(a) and (g) of this title.¹

STATEMENT OF THE CASE

This case arises out of the cleanup of gasoline-contaminated soil at a commercial property located in Los Angeles, California upon which a gasoline service station was once operated. The District Court dismissed the case for lack of subject matter jurisdiction following Petitioners' second motion therefor pursuant to Federal Rule of Civil Procedure 12(b)(6). The case is here following reversal of the District Court's decision by the Ninth Circuit Court of Appeals.

Because the issues on appeal were raised at the pleading stage, the facts set forth below, though disputed in many instances by Petitioners and incomplete in other instances, are primarily those alleged by Respondent in its first amended complaint. Additionally, certain findings of fact made by the court in the parallel state court action when it

¹ Section 6972 of Title 42, United States Code, has been reprinted in its entirety at Pet. App. A27-A32.

granted summary judgment in favor of Petitioners on July 11, 1995,² are added sparingly to complete the factual picture for this Court.

A. Relevant History Of The Subject Property

The real property which is the subject of the underlying action is presently owned by Respondent (plaintiff below) KFC Western, Inc. ("KFC"), which operates a Kentucky Fried Chicken franchise on that property. (J.A. 6, 13, 24.) KFC bought the property from Petitioners (defendants below) Alan Meghrig and Margaret Meghrig ("the Meghrigs") twenty years ago, in or about September 1975. (J.A. 6, 13, 24.)

The Meghrigs, who are brother and sister, had owned the property for 12 years prior to 1975. (J.A. 24.) Title had been put in their names by their father when he acquired the property in 1963, while both Petitioners were teenagers. The Meghrigs never operated a service station on the property. (J.A. 24.) Prior owners and/or their lessees had operated gasoline service stations on the property for 45 years (dating back to 1917) before the Meghrigs bought it. (J.A. 25.) Plaintiff has not sued any of those prior owners or lessees. (J.A. 5-20.)

KFC discovered the contamination in October 1988, commenced remediation, and *completed that remediation* in

² The state court's Amended Order With Findings of Fact and Conclusions of Law ("Findings of Fact") appears in the record as Exhibit A to the Meghrigs' Memorandum of Points and Authorities in Opposition to Motion to Dismiss Without Prejudice; Request for Imposition of Attorneys' Fees as Condition of Dismissal or, In The Alternative, Request for Stay, which was filed in the United States District Court on October 5, 1995. The Findings of Fact have been reprinted in the Joint Appendix. (J.A. 23-30.)

March 1989. (J.A. 6, 13, 25.) The cleanup was certified complete by the appropriate governmental agency in May 1989. The Meghrigs were unaware of the contamination until well after the completion of remediation. (J.A. 26.)

B. Proceedings In The District Court Below

KFC first brought suit in the District Court in late May 1992, over three years after the completion of remediation. (J.A. 5-11, 25.) KFC's District Court complaint consisted of a single cause of action brought under the citizen suit provision of the Resource Conservation and Recovery Act ("RCRA"), 42 U.S.C. § 6972(a)(1)(B). The complaint sought only monetary damages for past cleanup expenses which KFC had allegedly incurred. (J.A. 11.)

KFC did not plead that any "imminent and substantial endangerment" existed at the time it filed suit. Rather, KFC only pled that the alleged contamination "*may have presented*" (in the past) an imminent and substantial endangerment. (J.A. 10.)

[KFC had earlier sued these same two defendants in California state court under nine different state statutory and common law theories. *See, KFC Western, Inc. v. Meghrig*, 23 Cal. App. 4th 1167, 28 Cal. Rptr. 2d 676 (1994). In that action, as here, KFC sought to recover damages in the form of monies it had expended several years earlier to remediate soil contamination on the property. Two demurrers to those nine causes of action were sustained, the second without leave to amend, based on statutes of limitations and failure to state a claim. Limited portions of two causes of action were reinstated on appeal, but defendants recently obtained summary judgment as to those two causes as well. (J.A. 23-30.)]

In the District Court, Petitioners moved to dismiss KFC's original RCRA complaint on two independent grounds: (1) because the complaint admitted that the alleged contamination had been fully remediated more than three years prior to the filing of KFC's complaint, the contamination did not present an "imminent and substantial endangerment," as required for RCRA citizen suits; and (2) because KFC sought only money damages, it could not maintain a citizen suit under RCRA, because that statute only authorizes injunctive relief. The District Court granted the Meghriks' initial motion but allowed KFC leave to amend. (Pet. App. A24.)

KFC's amended complaint attempted to cure the defects in its original complaint by alleging: (1) that the contamination "may have presented" (at some time in the past) an imminent and substantial endangerment; and (2) that its damages claim was really one for "equitable restitution." (J.A. 19.) Petitioners again moved to dismiss on the grounds that these wording changes did not cure the defects in KFC's RCRA cause of action because: (1) the endangerment was still not "imminent," irrespective of what it "may have been" at some past time; and (2) KFC's "equitable restitution" claim, regardless of its new label, sought no more than did KFC's original complaint, *i.e.* money damages.

The District Court relied on two independent grounds in granting the Meghriks' renewed motion to dismiss, this time without leave to amend. First, the District Court determined that the citizen suit provision of RCRA under which KFC had brought this action was forward-looking and was designed to provide a method for private citizens to function as private attorneys general to bring suit to curtail *current* risks posed by contamination. (Pet. App. A22-A23.) The District Court then concluded that, because the RCRA citizen suit provision authorizes such suits only where there is

an "*imminent* and substantial endangerment to health or the environment," and because the cleanup at issue here was completed several years before KFC commenced its suit, there was no endangerment to be addressed. KFC's suit was therefore not authorized by RCRA. (Pet. App. A22.)

Second, the District Court ruled that the provision of RCRA that authorizes district courts to "restrain" and to "order such person to take such other action as may be necessary" entitles plaintiffs like KFC only to injunctive relief (prohibitory or mandatory). The District Court concluded that, because KFC was seeking damages in the form of costs incurred for a completed cleanup, the relief which KFC sought could not be granted under section 6972(a)(1)(B). (Pet. App. A22-A23.)

C. Proceedings In The Ninth Circuit Court Of Appeals

In December 1992, KFC appealed the judgment of the District Court to the Ninth Circuit Court of Appeals. On March 1, 1995, a divided Court of Appeals, in an opinion by Circuit Judge Pregerson, reversed the judgment of the District Court. (Pet. App. A1-A12.) Circuit Judge Brunetti issued a lengthy and pointed dissenting opinion. (Pet. App. A12-A20.)

The majority opinion first addressed the issue whether the endangerment must exist at the time of filing suit in order to meet the "may present an imminent and substantial endangerment" requirement of a RCRA citizen suit. The majority acknowledged that KFC had cleaned up the gasoline contamination more than three years prior to filing suit and further observed that the legislative history of RCRA disclosed that the term "imminent" in the RCRA citizen suit provisions means that a claim lies only:

"for events which took place at some time in the past, but *which continue to present a threat* to the public health or the environment."

(Pet. App. A4) (emphasis in original).

Nevertheless, the majority opinion concluded that RCRA authorizes citizen suits with respect to contamination that only *in the past* posed imminent and substantial danger. (Pet. App. A5.) The majority relied on *dicta* from two Eighth Circuit cases brought by EPA, not a private party, under a separate provision of RCRA, section 6973. *United States v. Aceto Agric. Chem. Corp.*, 872 F.2d 1373 (8th Cir. 1989); *United States v. Northeastern Pharmaceutical & Chem. Co.*, 810 F.2d 726 (8th Cir. 1986).

The majority also relied on its own general reading of RCRA as having the broad purpose of providing authority to the courts to grant all relief necessary to ensure protection of human health and the environment. (Pet. App. A6.) The court determined that a citizen suit for compensatory damages could be implied under RCRA based on the following statutory language:

"[T]he district court shall have jurisdiction ... to restrain any person who has contributed or who is contributing to [an imminent and substantial endangerment and to] *order such person to take such other action as may be necessary...*"

(Pet. App. A6) (quoting 42 U.S.C. § 6972(a)(1)(B) (emphasis supplied by majority opinion.))

Finally, the majority concluded that it simply would be

poor public policy to interpret the RCRA citizen suit provision to forbid the recovery of cleanup costs because the Comprehensive Environmental Response, Compensation and Liability Act ("CERCLA"), 42 U.S.C. §§ 9601-75, and state law do not provide adequate substitute sources of relief. In a footnote, the Court of Appeals explained that CERCLA specifically excludes suits based on petroleum contamination. It then cryptically observed as to state law claims that:

"Even though causes of action for nuisance, trespass and potential negligence are available to plaintiffs such as KFC, tort remedies are generally inadequate because of the difficulties of proof and attendant court delays."

(Pet. App. A11 n.6.)

Judge Brunetti's vigorous dissent urged four separate bases for affirming the District Court's opinion:

1. Both the plain language of the phrase "order such person to take such other action as may be necessary" and the specific legislative history of the RCRA citizen suit provision demonstrate that Congress did not intend environmental citizen suits to include actions for monetary reimbursement. (Pet. App. A13-A14.)

2. The unambiguous term "may present an imminent and substantial endangerment" means that the endangerment must exist at the site at the time the private citizen files suit. The statute would read "may or *may have* presented" if it intended to also cover past endangerments. (Pet. App. A14.)

3. The notice requirements of § 6972 of RCRA

further support the requirement that the "imminent and substantial endangerment" be present at the time of filing suit. The statute requires that a private citizen give 90 days' notice to the alleged violator, to the EPA Administrator and to the appropriate state agency, and further provides that, if the EPA Administrator or the state elects to bring suit, a private citizen is foreclosed from bringing suit. The dissent urged that these notice and bar provisions confirmed that the "imminent and substantial endangerment" must exist at the time the suit is filed and that the citizen suit provisions do not permit post-cleanup reimbursement actions. (Pet. App. A14.)

4. The absence of an express statute of limitations in RCRA, particularly in light of the fact that an express limitations period is provided by CERCLA, further confirms that RCRA does not authorize citizen suits for damages. (Pet. App. A15-A16.)

SUMMARY OF ARGUMENT

Our discussion of the reasons that the Ninth Circuit's majority decision should be reversed begins, as it should, with an analysis of the unambiguous language of the RCRA citizen suit provision. That provision gives the district courts jurisdiction to either "restrain" a person who is contributing to the handling of a solid or hazardous waste which poses an "imminent and substantial endangerment" to human health, or "to order such person to take such other action as may be necessary," or both. In other words, it authorizes a prohibitory injunction, a mandatory injunction, or both, where an endangerment is imminent, and nothing more. It does not authorize a suit in the district courts to address past endangerments, nor does it authorize a suit to recover costs previously expended to clean up contaminated property.

In fact, the RCRA citizen suit provision elsewhere

requires that notice be given to: (a) the alleged contaminator, (b) to the EPA, and (c) to the state where the property is located, and affords those persons a 90 day period within which to take action. If action is undertaken by the EPA or the state, a citizen suit is absolutely barred by the statute. Thus, the notice and bar provisions reaffirm the entitlement to injunctive relief only. If a party could simply clean up the property itself and then turn around and sue an allegedly responsible party, these provisions would have neither meaning nor purpose.

A comparison of the RCRA citizen suit provision with provisions in other statutes which *do* authorize citizens to sue for cost recovery confirms the limitation of RCRA citizen suits to injunctive relief only. When Congress intends to provide a citizen plaintiff with a right of action for damages, it explicitly does so, as it did in the Surface Mining Control and Reclamation Act ("SMCRA"). Moreover, when Congress intends to authorize parties to sue for cost recovery with respect to cleanup of contaminated property, it provides detailed cost evaluation guidelines like the National Contingency Plan in CERCLA and provides a statute of limitations, as it also did in CERCLA. Indeed, to adopt the Ninth Circuit's reasoning here would summarily override several important limitations in CERCLA, the primary federal property contamination statute, including its application only to hazardous substances, its exclusion for petroleum products, and its lack of an attorney's fees provision.

Petitioners' analysis is not founded solely upon a "plain meaning of the statute" argument. Their arguments are fully buttressed by the legislative history of RCRA's citizen suit provision, as well as the legislative history of citizen suit provisions in environmental statutes generally. Indeed, during the evolution of environmental statutes, Congress has consistently evinced a well-documented reluctance to permit

citizens to sue for damages in environmental statutes for fear of spawning a flood of new federal court litigation. And finally, the limited scope of the RCRA citizen suit provision is absolutely confirmed by the legislative history of the 1986 CERCLA amendments, which amendments were undertaken *after* the most recent amendments to RCRA.

Since the RCRA citizen suit provision does not by its terms provide for a private party right of action for damages, if one is to be created, it must be done by implication. But this Court has clearly held in *Cort v. Ash* and *Middlesex County Sewerage Authority v. National Sea Clammers Assn.* that creating rights of action by implication is highly disfavored and is permissible only when certain criteria are met. None of those criteria are present here.

The Ninth Circuit's opinion below implied a cause of action without addressing the factors set forth in *Cort v. Ash* and without addressing this Court's *Sea Clammers* decision. Rather, it based its interpretation of the "order such person to take such other action as may be necessary" portion of the RCRA citizen suit provision on its analysis of two Eighth Circuit Court of Appeals precedents dealing with a separate provision of RCRA which authorizes suits by the government. The Eighth Circuit has now soundly rejected the Ninth Circuit's interpretation of its precedents in its recent decision in *Furrer v. Brown*. (Pet. Rep. A17-A20.)³ Moreover, a comparison of the RCRA citizen suit provision with the RCRA government suit provision does not, when properly analyzed, support the Ninth Circuit's conclusion.

³ On October 30, 1995, the Eighth Circuit denied plaintiff's Petition for Rehearing and Suggestion for Rehearing En Banc in *Furrer v. Brown*. Only two circuit judges indicated that they would grant the suggestion for rehearing.

For all of these reasons, we ask this Court to reverse the Ninth Circuit's decision in its entirety.

ARGUMENT

This case presents two questions: (1) whether the RCRA citizen suit provision is limited to injunctive, rather than monetary, relief, and (2) whether the RCRA citizen suit provision requires that an imminent and substantial endangerment exist at the time of filing suit. The answer to both questions is in the affirmative, and an affirmative answer to either one requires reversal in this case. *See also* Pet. App. A12-A13.

I. The RCRA Citizen Suit Provision Unambiguously Authorizes An Action Only For Injunctive Relief And Only Where An Imminent Endangerment Exists

As this Court has repeatedly stated, "the starting point for interpreting a statute is the language of the statute itself." *Hallstrom v. Tillamook County*, 493 U.S. 20, 25 (1989).

A. The Express Terms Of The RCRA Citizen Suit Provision Only Authorize Actions For Injunctive Relief

The RCRA citizen suit provision expressly provides only the following two remedies where the handling of a hazardous or solid waste has created an imminent and substantial endangerment:

"The district court shall have jurisdiction...to [1] *restrain any person* who has contributed or who is contributing to the past or present

handling...of any solid or hazardous waste [which may present an imminent and substantial endangerment to human health or the environment, or] [2] *to order such person to take such other action as may be necessary, or both....*

42 U.S.C. § 6972(a)(1)(B) (emphasis added).

The district court's jurisdiction "to restrain" undisputedly confers the power to issue an injunction prohibiting a person from acting in a manner which may be creating an imminent and substantial endangerment. The term "order such person to take such other action as may be necessary" allows courts to issue mandatory injunctions as well; to order contamination cleanup, for example. The reference to "such other action" in this phrase denotes mandatory injunctive relief different from or in addition to the action required of "such person" pursuant to a restraining order.⁴ The "as may be necessary" language allows district courts to order measures required to stabilize and/or eliminate the imminent and substantial endangerment.

Mandatory injunctive relief is important in the RCRA context because citizen-plaintiffs may need to make defendants both *stop* causing a solid waste problem and *start* doing something, i.e., cleaning it up. The RCRA citizen suit

⁴ Congress's decision to grant district courts separate and explicit jurisdiction to issue both prohibitory and mandatory injunctions, rather than simply providing for a more general injunctive power, should be viewed under the presumption that Congress was aware of the traditional reluctance of federal courts to issue preliminary mandatory injunctions. See 7 James W. Moore, *Moore's Federal Practice*, ¶65.04[1], 65-84 (2d ed. 1994). By specifically granting district courts jurisdiction to issue mandatory injunctions, Congress may have intended to dispel the longstanding concerns of federal courts regarding the issuance of mandatory injunctions before a hearing on the merits.

provision is unambiguous in this regard, and it neither expressly nor implicitly grants a district court jurisdiction to award a plaintiff costs it has incurred where the plaintiff has chosen to itself clean up a solid waste problem.

As noted above, this Court has repeatedly instructed the federal courts that unambiguous statutory language should be accorded its plain meaning. See *Hallstrom v. Tillamook County*, 493 U.S. 20, 28 (1989) (construing the RCRA citizen suit provision and stating that plain statutory language is conclusive absent a "clearly expressed legislative intention to the contrary.") This Court has further instructed the federal courts that "to acknowledge ambiguity is not to conclude that all interpretations are equally plausible." *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation, Inc.*, 484 U.S. 49, 57 (1987). Thus, even to the extent that the language in question may be ambiguous, its "most natural reading" (*id.*) is as a grant of jurisdiction to provide mandatory injunctive relief for existing harms and not monetary relief for harms addressed in the past.⁵ The Ninth Circuit erroneously relied on the language allowing district courts to "order such person to take such other action as may be necessary" as the basis for a compensatory damages action. The statutory language cannot be stretched this far.

When Congress *intends* an action for monetary relief to be available to citizen plaintiffs it *expressly* says so. Indeed, the only environmental statute that has a citizen suit provision authorizing an action for damages is the Surface

⁵ The Court of Appeals did not indicate whether it viewed the language at issue as ambiguous or unambiguous. Apparently, that court concluded that language allowing district courts to order parties to take "such other action as may be necessary" unambiguously provides for monetary relief. However, the Court provided no analysis other than to state that it "agree[d] with KFC that RCRA authorizes a restitutionary remedy...." Pet. App. at A6.

Mining Control and Reclamation Act ("SMCRA"). Section 520(f) of SMCRA, captioned "Action for damages", provides:

"Any person who is injured in his person or property through the violation by any operator of any rule, regulation, order, or permit issued pursuant to this chapter *may bring an action for damages.*"

30 U.S.C § 1270(f) (emphasis added).

The clarity of the damages remedy provided in the SMCRA citizen suit provision contrasts starkly with the RCRA citizen suit provision. Congress plainly has no difficulty in evincing its intent to provide a damages remedy.

B. The Express Terms Of The RCRA Citizen Suit Provision Only Authorize Actions Where Contamination Currently Presents An Imminent and Substantial Endangerment

The RCRA citizen suit provision only provides for relief as against any person:

"who has contributed or who is contributing to the past or present handling . . . of any solid or hazardous waste *that may present an imminent and substantial endangerment* to human health or the environment."

42 U.S.C. § 6972(a)(1)(B) (emphasis added).

The statute thus clearly requires that the endangerment be *imminent*, even if the acts which caused it occurred at some

time in the past.

This Court addressed a closely analogous issue in *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation, Inc.*, 484 U.S. 49 (1987). In *Gwaltney*, respondent argued that an action should lie for wholly past violations of the Federal Water Pollution Control Act ("FWPCA") under that Act's citizen suit provision. The FWPCA citizen suit provision contains language that allows suit only against parties alleged "to be in violation" of the Act. This Court, noting the statute's use of the present tense, concluded that the FWPCA citizen suit provision does not apply to violations that were wholly past. This Court stated that:

"Congress could have phrased its requirement in language that looked to the past ('to have violated'), but it did not choose this readily available option."

Gwaltney, 484 U.S. at 57-59.

Here, the same present tense language allows suit only for conditions "*which may present an imminent and substantial endangerment.*" 42 U.S.C. § 6972(a)(1)(B) (emphasis added). Congress could have phrased the RCRA citizen suit provision to reach endangerments that had once existed but which had since been remediated ("*which may have presented an imminent and substantial endangerment*"). However, Congress did not choose this readily available option.

The statutory language does indicate that Congress intended the RCRA citizen suit provision to reach ongoing *conduct* and past *conduct* that has been discontinued. The statute makes liable any person "*who has contributed or who is contributing to the past or present handling . . . of any solid or hazardous waste.*" 42 U.S.C. § 6972(a)(1)(B) (emphasis

added). *See, Gwaltney*, 484 U.S. at 58 n.2. Thus, Congress clearly demonstrated in the specific context of the RCRA citizen suit provision that it recognizes a distinction between its use of the past tense and present tense.

In sum, it is implausible that Congress intended the RCRA citizen suit provision to reach not only waste which may currently present an imminent endangerment but also waste already cleaned up which presented an endangerment in the past when it chose to phrase the operative provision in the present tense only.

II. Other Sections Of The RCRA Citizen Suit Provision Confirm That Monetary Relief For Past Endangerments Was Not Intended

Other sections of the RCRA citizen suit provision confirm that it provides a limited right of action to enjoin ongoing harms and not a broad damages remedy for the recovery of past cleanup costs.

The RCRA citizen suit provision also contains a notice section that requires citizens to give 90 days' notice of an endangerment to the persons alleged to have contributed, or to be contributing, to the handling of the solid or hazardous waste in question, as well as to the Administrator of EPA and the State. 42 U.S.C. § 6972(b)(2)(A).⁶ If the Administrator

⁶ The notice provision reads:

"No action may be commenced under subsection (a)(1)(B) of this section prior to ninety days after the plaintiff has given notice of the endangerment to --

- (i) the Administrator;
- (ii) the State in which the alleged endangerment may occur;
- (iii) any person alleged to have contributed or to be contributing to the past or present handling, storage, treatment,

or the EPA commences action with respect to the site within that 90 day period, a citizen suit is barred. 42 U.S.C. § 6972(b)(2)(B).

This Court again addressed a nearly identical provision in *Gwaltney* and determined that the notice requirement confirmed that the citizen suit provision of the FWPCA reached only ongoing and not wholly past violations:

"Any other conclusion would render incomprehensible [the Act's] notice provision, which requires citizens to give 60 days' notice of their intent to sue to the alleged violators as well as to the Administrator and the State. If the Administrator or the State commences enforcement action within that 60-day period, the citizen suit is barred, presumably because governmental action has rendered it unnecessary. It follows logically that the purpose of notice to the alleged violator is to give it an opportunity to bring itself into complete compliance with the Act and thus likewise render unnecessary a citizen suit. *If we assume, as respondents urge, that citizen suits may target wholly past violations, the requirement of notice to the alleged violator becomes gratuitous.*

Gwaltney, 484 U.S. at 59-60 (emphasis added.)

The same reasoning applies here. The purpose of the 90 day notice requirement is to give the person alleged to

transportation, or disposal of any solid or hazardous waste referred to in subsection (a)(1)(B) of this section."

have contributed to, or to be contributing to, the waste problem an opportunity to initiate cleanup or to give the government an opportunity to address the problem. The EPA and state governments have a strong interest in addressing waste problems that present an imminent danger to human health or the environment. In either event, the citizen suit is rendered unnecessary.

If the RCRA citizen suit provision is read to provide a cost recovery mechanism for waste problems previously cleaned up, the notice provision truly becomes gratuitous. Providing notice would simply provide a potential defendant advance warning of a lawsuit. There would be nothing that such a party could do to address the endangerment and thus forestall suit because there would be no endangerment -- the waste would already have been cleaned up. Similarly, with respect to the Administrator and the State, the notice would simply provide information that a waste problem had been cleaned up and that a private party cost recovery lawsuit would be filed. There would be almost nothing the government could meaningfully do with this information. Again, the notice would be gratuitous.

That precise scenario is amply demonstrated by KFC's actions with respect to the Petitioners and the EPA in this case. KFC discovered the contamination in October 1988. It did not give the required RCRA notice to Petitioners or to the EPA or to the state at that time. When it finally did give notice in late 1990, that act was entirely meaningless. Since there was no imminent and substantial endangerment to address by that time, Petitioners and EPA were powerless to take any of the action contemplated by the statute.

Finally, as noted earlier, when, following notice to the EPA, the government begins addressing the endangerment, a citizen suit is completely barred. 42 U.S.C. § 6972(b)(2)(B).

The significance of this bar has been specifically addressed by this Court in reviewing the nearly identical FWPCA citizen suit bar:

"The bar on citizen suits when governmental enforcement action is under way suggests that the citizen suit is meant to supplement rather than supplant governmental action."

Gwaltney, 484 U.S. at 60.

In *Gwaltney*, this Court went on to express its concern that governmental enforcement and prosecutorial discretion would be undermined if citizen suits could be brought for wholly past violations where the condition causing the violation had been corrected:

"[p]ermitting citizen suits for wholly past violations of the [FWPCA] could undermine the supplementary role envisioned for the citizen suit." *Id.*

In the RCRA context, as in the FWPCA, reading a damages remedy into the citizen suit provision would completely supplant governmental action. Such a construction would allow a citizen to: (1) clean up a solid waste site, (2) provide notice to the government and the allegedly responsible party after the cleanup is complete, and then (3) commence suit. It is hard to imagine a situation in which governmental action is more fully supplanted.

III. A Comparison Of The RCRA Citizen Suit Provision With Comparable Provisions In CERCLA Reaffirms The Absence Of A Cost Recovery Authorization In RCRA

Congress has, of course, elsewhere created a comprehensive waste cleanup and cost recovery statute: the Comprehensive Environmental Response, Compensation and Liability Act, ("CERCLA"), 42 U.S.C. §§ 9601-9675.⁷ CERCLA provides that any person may seek cost recovery or contribution from any other person who is liable or potentially liable for response costs. 42 U.S.C. §§ 9607(a); 9613(f)(1).⁸ A comparison of several aspects of the RCRA citizen suit provision with those in the cost recovery provision in CERCLA demonstrates conclusively that Congress did not intend RCRA to provide a private party cost recovery mechanism.

⁷ In *Key Tronic Corp. v. United States*, Justices Stevens and Scalia debated whether the CERCLA private party cost recovery action is express or implied. ___ U.S. ___, 114 S. Ct. 1960, 1966 n.11 and 1968 n.* (1994). Petitioners note that if the CERCLA private party cost recovery action is implied, then surely the "RCRA citizen suit cost recovery action" that respondents urge upon this Court is implied. See, Section IV of this Brief, *infra*, at 26.

⁸ These causes of action are in addition to CERCLA's citizen suit provision, which allows suit to be brought against "any person ... who is alleged to be in violation of any standard, regulation, condition, requirement, or order which has become effective pursuant to [CERCLA]." 42 U.S.C. § 9659(a)(1). The district court is provided with jurisdiction in such a case "to enforce the standard, regulation, condition, requirement, or order concerned ..., to order such action as may be necessary to correct the violation, and to impose any civil penalty provided for in the violation." 42 U.S.C. § 9659(c).

A. The Absence Of An Express Statute Of Limitations In The RCRA Citizen Suit Provision

The RCRA citizen suit provision does not include an express statute of limitations. On the one hand, the lack of a statute of limitations in the RCRA citizen suit provision is unsurprising, since that provision only authorizes mandatory or prohibitory injunctive relief where an imminent and substantial endangerment exists. As long as the endangerment remains imminent, the cause of action remains viable. After the waste problem is cleaned up and the endangerment ceases, the cause of action is barred. Thus, there is no need for a statute of limitations in the RCRA citizen suit provision if only injunctive relief is authorized.

If on the other hand, the RCRA citizen suit provision provided a damages remedy, the lack of a statute of limitations would be completely anomalous. A cause of action for damages would become viable upon creation or discovery of the imminent danger and would remain viable even *after* the endangerment ended. The limitations period for such a damages cause of action would be undefined by the statute. It is unlikely that Congress intended such a result, particularly where, when Congress *did* expressly provide for cleanup cost recovery in CERCLA, Congress believed it important that an express limitations period⁹ accompany such

⁹ The CERCLA statute of limitations provides that:

"An initial action for recovery of the costs referred to in Section 9607 of this title must be commenced --

(A) for a removal action, within 3 years after completion of the removal action ...

(B) for remedial action, within 6 years after initiation of physical on-site construction of the remedial action" 42 U.S.C. § 9613(g)(2).

"No action for contribution for any response costs or

a remedy.¹⁰

Moreover, to simply assert, as the Ninth Circuit majority does (Pet. App. A9), that the indefinite doctrine of *laches* can substitute for a definite limitations period obscures the point. The lack of a statute of limitations accompanying the RCRA citizen suit provision is compelling evidence that Congress did not intend the RCRA citizen suit provision to provide a damages remedy.

B. The Absence Of Statutory Guidance On The Appropriateness Of Costs Sought To Be Recovered Under RCRA

CERCLA's cost recovery provisions include a mechanism for determining which costs expended by a plaintiff seeking reimbursement are recoverable. Only costs that are "necessary and consistent with the National Contingency Plan" are recoverable. 42 U.S.C. § 9607(a).

damages may be commenced more than 3 years after --
 (A) the date of judgment in any action under this chapter for recovery of such costs or damages, or
 (B) the date of an administrative order under section 9622(g) ... or 9622(h) of this title" 42 U.S.C. § 9613(g)(3).

¹⁰ If the Ninth Circuit's decision is upheld, private parties could sue years after contamination had been discovered, and even years after it had been cleaned up. One area of environmental litigation that would be overwhelmingly impacted is suits seeking recovery of costs expended cleaning up gasoline leaks from underground storage tanks. Such suits were generally barred from the federal courts by the petroleum exclusion in CERCLA and are thus subject to state statutes of limitations. If the Ninth Circuit's decision were affirmed, such suits could be filed in federal court under RCRA with no express statute of limitations to be applied. Virtually every citizen-plaintiff with a gasoline tank leak claim could proceed to federal court, including those who have already been barred from proceeding in state court by state statutes of limitations.

The National Contingency Plan contains regulations on "hazardous substance response" that comprise twenty nine pages in the Code of Federal Regulations. 40 C.F.R. §§ 300.400 - 300.440. By contrast, the RCRA citizen suit provision provides no guidance whatsoever as to the types of response costs that are recoverable under its citizen suit provision. This lack of statutory guidance is entirely logical if the RCRA citizen suit provision is limited, as it appears to be, to enjoining imminent and substantial endangerments. If, however, Congress intended RCRA to authorize citizen suits for cost recovery, the lack of definition as to which costs are recoverable would be a momentous omission, particularly given its detailed treatment in CERCLA.¹¹ In point of fact, Congress did not intend the RCRA citizen suit provision to function as a cost recovery mechanism, and the lack of guidance on the reasonableness of cleanup expenditures is of no moment.

C. The Ninth Circuit's Interpretation Would Obviate Other Longstanding Limitations On Private Party Cost Recovery Actions.

If upheld, the Ninth Circuit's decision would nullify additional important limitations on private party cost recovery actions embodied in CERCLA. First, CERCLA applies only to hazardous substances. A RCRA remedy would apply to *any solid waste problem* -- a much broader universe.

In addition, CERCLA excludes petroleum products from its list of hazardous substances. 42 U.S.C. § 9601(14); *Wilshire Westwood Assocs. v. Atlantic Richfield Corp.*, 881 F.2d 801 (9th Cir. 1989). Responsibility for petroleum

¹¹ Indeed, if the Ninth Circuit's decision were upheld, the lower courts would have to engage in extensive interstitial lawmaking to define which costs are recoverable in this highly technical area.

contaminated property has long resided with state enforcement agencies and state courts. The Ninth Circuit's decision would nullify this important aspect of the CERCLA petroleum exclusion. It would allow petroleum cost recovery actions to be brought in federal court even though Congress expressly provided otherwise under CERCLA.

Finally, the RCRA citizen suit provision authorizes an award of attorney's fees to the prevailing party. 42 U.S.C. § 6972(e). Attorney's fees are not recoverable in private party CERCLA cost recovery actions. *Key Tronic Corp. v. United States*, ___ U.S. ___, 114 S. Ct. 1960 (1994). In all likelihood, Congress decided to allow an attorney's fees award in the RCRA citizen suit provision due to the limited nature of the relief Congress was providing: prohibitory and mandatory injunctive relief. If the Ninth Circuit's ruling is allowed to stand, attorney's fees will be recoverable in a federal "cost recovery" action brought under RCRA, but not under CERCLA. Thus, CERCLA, the statute designed to address the less numerous but potentially more dangerous hazardous substance sites, will provide a less comprehensive remedy, from a plaintiff's perspective, than the RCRA citizen suit provision.

IV. The Legislative History Of Federal Environmental Citizen Suit Provisions, And The Legislative History Of RCRA In Particular, Confirm That RCRA Citizen Suit Remedies Are Limited

As just reviewed, the plain language of RCRA conclusively establishes that its citizen suit provision only authorizes private party claims for injunctive relief to address ongoing dangers and does not provide a cost recovery remedy. This Court has repeatedly stated that the words of a statute are controlling absent a clearly expressed legislative intention to the contrary. *E.g., Hallstrom, supra*, 493 U.S. at 28;

Middlesex County Sewerage Authority v. National Sea Clammers Assn, 453 U.S. 1, 15 (1981) ("*Sea Clammers*"). In this case, not only are there no indicia of such Congressional intent, but the relevant legislative history *confirms* that the citizen suit provision of RCRA is limited to injunctive relief. In fact, the legislative history of RCRA, particularly in light of the history and purpose of citizen suit provisions in environmental statutes, demonstrates that Congress considered including a remedy for monetary relief in RCRA and deliberately decided not to do so.

A. The Legislative History Of Environmental Citizen Suit Provisions

Congress introduced citizen suits into environmental statutory law in the 1970 amendments to the Clean Air Act. Since then, with the Clean Air Act serving as a model, Congress has included citizen suit provisions in virtually every piece of federal environmental legislation.¹² *Hallstrom*, 493 U.S. at 23. Consequently, the citizen suit provisions in the various federal environmental statutes closely resemble one another. Fadil, *Citizen Suits Against Polluters*, 9 Harv. Env'tl L. Rev. 23, 26-28 (1985); *see also*, Boyer & Meidinger, *Privatizing Regulatory Enforcement*, 34 Buff. L. Rev. 833, 847-851 (1985). All, for example, contain a notice provision. All contain a bar to suit if the government is pursuing the matter. Virtually all provide for federal district court jurisdiction regardless of the amount in controversy or the

¹² *See, e.g.* Toxic Substances Control Act, 15 U.S.C. § 2619; Endangered Species Act, 16 U.S.C. § 1540(g); Surface Mining Control and Reclamation Act, 30 U.S.C. § 1270; Marine Protection, Research and Sanctuaries Act, 33 U.S.C. § 1415(g); Federal Water Pollution Control Act, 33 U.S.C. § 1365; Safe Drinking Water Act, 42 U.S.C. § 300j-8; Noise Control Act, 42 U.S.C. § 4911; Clean Air Act, 42 U.S.C. § 7604; CERCLA, 42 U.S.C. § 9659; Outer Continental Shelf Lands Act, 43 U.S.C. § 1349.

citizenship of the parties.

The general purpose of citizen suit provisions in federal environmental statutes is to allow citizen-plaintiffs to act as "private attorneys general." *Sea Clammers*, 453 U.S. at 14 n.23. But there was concern in Congress, even as the initial citizen suit provisions were being enacted, that a citizen suit provision that provided too broad a remedy could strip the government of prosecutorial discretion, lead to over-enforcement of the environmental laws and overburden the court system. *See, Hallstrom*, 493 U.S. at 29. The balance struck by Congress included the decision not to include a private damages remedy in citizen suit provisions.

This position was articulated in the debates over the first citizen suit provision (in the 1970 Clean Air Act) as follows:

"It has been argued, however, that conferring additional rights on the citizen may burden the courts unduly. I would argue that the citizen suit provision of [this bill] has been carefully drafted to prevent this consequence from arising. First of all, it should be noted that *the bill makes no provision for damages to the individual*. It therefore provides no incentives to suit other than to protect the health and welfare of those suing and others similarly situated. It will be the rare, rather than the ordinary, person, I suspect, who with no hope of financial gain and the very real prospect of financial loss, will initiate court action under this bill."

116 Cong. Rec. 33104 (1970) (comments of Sen. Hart) *quoted in Sea Clammers*, 453 U.S. at 17 n.27

(emphasis added).

During the floor debates, the citizen suit provision of the Clean Air Act was contrasted with the citizen suit provision of Senate Bill 3201, a pending, separate consumer protection bill that would have authorized private suits for damages:

"Senate Bill 3201 provides damages and a remedy for recovery of fines and restitution, and other monetary damages. The pending bill is limited to seek [sic] abatement of violation of standards established administratively under the act, and *expressly excludes damage actions*."

Id. at 33102 (comments of Sen. Muskie) *quoted in Sea Clammers*, 453 U.S. at 17 n. 27 (emphasis added).

Senator Muskie then placed in the Record a staff memorandum stating that the availability of damages in the Clean Air Act "would encourage frivolous or harassing suits against industries and government agencies." *Id.* at 33103.

In 1972, Congress enacted the second environmental citizen suit provision as section 505 of the FWPCA. The FWPCA citizen suit provision was explicitly modeled after the Clean Air Act citizen suit provision. *See* S. Rep. No. 414, 92d Cong., 2d Sess. 79 (Citizen participation under the Clean Water Act is "modeled on the provision enacted in the Clean Air Act Amendments of 1970"); H.R. Rep. No. 911, 92d Cong., 2d Sess. 133 ("Section 505 closely follows the concepts utilized in section 304 of the Clean Air Act"). *See also, Gwaltney*, 484 U.S. at 62 ("The Senate and House Reports explicitly connected the FWPCA citizen suit provision to the citizen suit provision of the Clean Air Act, which is

wholly injunctive in nature").

Members of Congress repeatedly characterized the FWPCA citizen suit provision as an "abatement" provision or as an injunctive measure. *See, e.g.,* Water Pollution Control Legislation, Hearings before the Subcomm. on Air and Water Pollution, Senate Comm. on Public Works, 92d Cong., 1st Sess., pt. 1, 114 (1971) ("Any person may sue a polluter to abate a violation ..."). In the accompanying debates, Senator Bayh stated that "[t]hese sorts of citizen suits -- in which a citizen can obtain an injunction but cannot obtain money damages for himself -- are a very useful additional tool in enforcing environmental protection laws". 118 Cong. Rec. 33717 (1972).

B. The Legislative History Of The RCRA Citizen Suit Provision

The legislative history of the 1984 amendments to RCRA reflects the same Congressional intent with respect to citizen suit provisions as RCRA's ancestor environmental statutes: to authorize federal courts to issue injunctive relief to private party plaintiffs but not to award compensatory damages. For example, the House Committee report states that the RCRA citizen suit provision:

"Confers on citizens a limited right under section 7002 [42 U.S.C. § 6972] to sue to *abate* an imminent and substantial endangerment"

H.R. Rep. No. 198, 98th Cong., 2d Sess. (1984), *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612 (emphasis added).

The report also explains the primary goal of § 6972(a)(1)(B)

as "the *prompt abatement* of imminent and substantial endangerments." *Id.* (emphasis added).

Several House members feared that the amended RCRA citizen suit provision would cause citizens to flood the federal courts with supplemental state-law claims, including tort claims for damages. The debate on this issue is illuminating as to the limitation of the RCRA citizen suit provision to injunctive (abatement) actions. The minority report, for instance, objected to the citizen suit provision because of the failure of the committee to adopt a clarifying amendment:

"That amendment stated that no district court before which an imminent and substantial endangerment action is brought is empowered to hear related state law claims. That amendment simply clarified what we had understood to be the intention of the citizen suit provision and that is to give citizens a federal cause of action to abate imminent and substantial endangerments created by hazardous waste disposal facilities.

Unfortunately, we believe the citizen suit provision goes much further than was intended because, under a legal doctrine called pendent jurisdiction, citizens will have the opportunity to try to bring all related state claims they may have into the federal court system when they sue to abate imminent hazards This could slow down the proceeding which, as we understand it, is intended to be an emergency type action to abate imminent hazards. Instead of ending the imminent hazard, federal judges will be trying to decide cumbersome questions

of state law nuisance, trespass, and personal and property damage compensation.

Id., 1984 U.S.C.C.A.N. at 5634-35 (emphasis added).

While Congress decided not to prohibit supplemental state-law claims,¹³ the committee majority cautioned that it expected courts:

"[t]o exercise their discretion concerning pendent jurisdiction in a way that will not frustrate or delay the primary goal of this provision, namely the prompt abatement of imminent and substantial endangerments."

Id. at 53.

It is clear from this debate that all of the Representatives on the committee, both majority and minority members, understood and intended that the RCRA citizen suit provision would provide only injunctive relief. The debate centered on whether a citizen-plaintiff should be permitted to bring in federal court, *inter alia*, a supplemental state law cause of action for "*personal and property damage compensation*." The minority would have amended the RCRA citizen suit provision to prohibit the federal courts from exercising supplemental jurisdiction over state law damage claims. The majority decided that such supplemental state law claims should not be prohibited, but urged the federal courts to exercise discretion in exercising supplemental jurisdiction to avoid frustrating the primary goal of the RCRA citizen suit

¹³ The corresponding Senate Committee Report echoed the House Committee's comments on supplemental jurisdiction. S. Rep. No. 284, 98th Cong., 1st Sess. 57 (1983).

provision -- "the prompt abatement of imminent and substantial endangerments." This entire debate about supplemental jurisdiction over state law damage claims would be nonsensical if Congress intended the RCRA citizen suit provision to provide a federal cause of action for damages.

C. The Legislative History Of The Subsequent Amendments To CERCLA's Citizen Suit Provisions Confirms Congress's Intent To Limit RCRA's Citizen Suit Authorization To Injunctive Relief Claims

The chief difference in the language of the RCRA citizen suit provision from the provisions in the Clean Air Act and FWPCA is the inclusion of the authority to "order such person to take such other action as may be necessary," which appears in RCRA but not the earlier Acts. The only other citizen suit provision that contains the "order such person to take such other action as may be necessary" language is the CERCLA citizen suit provision. 42 U.S.C. § 9659. The legislative history of CERCLA with respect to this provision makes the purpose of this language very clear.

The CERCLA citizen suit was added to that statute by the Superfund Amendments and Reauthorization Act of 1986, two years after the RCRA citizen suit provision at issue here was amended. In considering the CERCLA citizen suit provision, the House Judiciary Committee both referenced and explained RCRA's "order such person to take such other action" language:

"the cause of action for abatement of an imminent and substantial endangerment, like the one added to [RCRA] in 1984, is designed solely to aid in the clean-up of hazardous waste sites.

The Committee notes that this type of relief is consistent with that available for other actions authorized by this section. *These suits may also be brought for injunctive relief only*, i.e., citizens may seek a restraining order against private parties and/or a mandamus order to require the EPA or other relevant agency to perform a mandatory duty under CERCLA. *None of these actions are for money damages.* They are actions directly related to the principal purpose of the Superfund law -- i.e., to bring about quick identification and effective clean-up of dangerous hazardous waste sites."

H.R. Rep. No. 253, pt. 3, 99th Cong. 1st Sess. (1985) (emphasis added).¹⁴

In sum, the legislative history of federal environmental citizen suit provisions, read together with RCRA's express legislative history, compels the conclusion that only injunctive relief, and not monetary damages, is available under the RCRA citizen suit provision.¹⁵

¹⁴ The language of the CERCLA amendments bill as it left the Judiciary Committee provided the district court with jurisdiction "to immediately restrain any person contributing to the endangerment ... [or] to order such person to take response action as provided for in this Act." The language in the bill as it passed the House was identical. The Conference Committee deleted the "endangerment" language in the citizen suit as redundant of RCRA and modified the statutory language accordingly. H.R. Rep. No. 253, pt. 3, 99th Cong., 1st Sess. (1985).

¹⁵ In light of the purpose of citizen suits, the overwhelming weight of case authority supports the proposition that monetary relief, whether labelled "economic," "compensatory" or "restitutionary," is not available as part of a RCRA citizen suit cause of action. *Furrer v. Brown*, 62 F.3d 1092 (8th Cir. 1995); *Portsmouth Redev. & Housing Auth. v. BMI Apt. Assoc.*, 847 F.Supp. 380 (E.D. Va. 1994); *Kaufman and Broad - South Bay v. Unisys Corp.*, 822 F.Supp. 1468

V. The Ninth Circuit Improperly Implied A Private Party Right Of Action For Cost Recovery

The RCRA citizen suit provision does not expressly provide a cost recovery remedy. What the Ninth Circuit's decision has created, then, is an implied right of action for damages under the RCRA citizen suit provision.¹⁶ But implied rights of action are permissible only when certain key criteria are met.

A. There Can Be No Implied Right Of Action For Damages In The RCRA Citizen Suit Provision Because the *Cort v. Ash* Criteria Are Not Met

In *Cort v. Ash*, *supra*, this Court listed four factors which guide the process of determining whether implying a

(N.D. Cal. 1993); *Gache v. Town of Harrison*, 813 F.Supp. 1037 (S.D.N.Y. 1993); *M.E.S.S. v. Weinberger*, 707 F.Supp. 1182 (E.D. Cal. 1988); *Commerce Holding Co., Inc. v. Buckstone*, 749 F.Supp. 441 (E.D.N.Y. 1990); *Mola Dev. Corp. v. United States*, 22 Env't. Rep. Cas. 1443 (C.D. Cal. 1985); *but see Bayless Invest. & Trad. Co. v. Chevron U.S.A., Inc.*, 39 Env't Rep. Cas. 1428 (D. Ariz. 1994). In addition, before the Ninth Circuit's ruling, the leading treatises on hazardous waste and environmental law had concluded that, under the RCRA citizen suit provision, "it is well settled that" an award of damages is not permitted. S. Cooke, *The Law of Hazardous Waste* § 16.03(3)(f) (1995); *see also* 4 W. Rodgers, *Environmental Law* § 7.6(b) (1992).

¹⁶ The Court of Appeals did not undertake an "implied right of action" analysis. The Court of Appeals instead interpreted the language of RCRA which provides for mandatory injunctive relief ("to order such person to take such other action as may be necessary") expansively as allowing a district court to order a defendant to pay over to a plaintiff in restitution that amount of money that the plaintiff had expended on its cleanup.

right of action is consistent with Congressional intent.¹⁷ The first consideration under *Cort* is whether the plaintiffs are members of a class for "whose especial benefit the statute was enacted." *California v. Sierra Club*, 451 U.S. 287, 293 (1981) (quoting *Cort*, 422 U.S. at 78, 80-82). RCRA is a statute designed to benefit the public at large by ensuring environmental safety, rather than focusing on any particular class or group. *City of Chicago v. Environmental Defense Fund*, ___ U.S. ___, 114 S.Ct. 1588, 1590 (1993); accord *California v. Sierra Club*, 451 U.S. 287, 295. Respondent KFC does not belong to a special class to which Congress intended to give special protections under RCRA, and this requisite for an implied right of action is not met.

The second consideration under *Cort* is whether there is any indication of legislative intent, explicit or implicit, to create a federal cause of action for private party cleanup cost recovery. As discussed extensively above, nothing in the RCRA legislative history in any way suggests that Congress intended to grant jurisdiction to district courts to adjudicate

¹⁷ This Court phrased the factors as inquiries:

"First, is the plaintiff one of the class for whose especial benefit the statute was enacted, that is, does the statute create a federal right in favor of the plaintiff? Second, is there any indication of such a remedy or to deny one? Third, is it consistent with the underlying purposes of the legislative scheme to imply such a remedy for the plaintiff? And finally, is the cause of action one traditionally relegated to state law, in an area basically the concern of the States, so that it would be inappropriate to infer a cause of action based solely on federal law?"

Cort, 422 U.S. at 95 (Emphasis Added).

The *Cort* factors are not of equal weight; the dispositive question is one of legislative intent. *Transamerica Mortgage Advisors, Inc. v. Lewis*, 444 U.S. 11, 23-24 (1979); *Touche Ross & Co. v. Redington*, 442 U.S. 560, 575-576 (1979).

claims for recovery of cleanup costs under RCRA's citizen suit provision. See *supra* at 30 - 32. In fact, the legislative history supports the contrary intent.

The third consideration under *Cort* is whether implying a cause of action for recovery of cleanup costs by a private plaintiff is "necessary to make effective the congressional purpose" of RCRA. See *Cort*, 422 U.S. at 84. RCRA itself states that the objectives of the Act "are to promote the protection of health and the environment and to conserve valuable material and energy resources," and then sets forth eleven routes to that goal, none of which relates directly to the citizen suit provision. 42 U.S.C. § 6902(a). The "national policy" statement accompanying RCRA addresses only the reduction or elimination of "the generation of hazardous waste ... as expeditiously as possible," and the appropriate treatment, storage, or disposal of "[w]aste that is nevertheless generated," but does not speak specifically to contaminated property, to its remediation or to recovery of costs of remediation. *Id.* § 6902(b). The overriding purpose of RCRA is clear: to prevent generation of hazardous waste in the first instance, and, further, to dispose of and treat properly that which is produced. In other words, RCRA's goal is to prevent the creation of hazardous waste sites, rather than to promote the cleanup of existing sites.

As to the RCRA citizen suit provision in particular, as reviewed above, the statute has a notice provision and a provision that bars suit when the government is addressing the problem. The obvious goal of these provisions is to forestall citizen suits so that they become available only as a last resort. It is apparent that, while Congress intended to allow citizen suits in order to foster compliance with RCRA's regulations, it wrote the RCRA citizen suit provision to supplement, and not supplant, governmental enforcement efforts. See *supra* at 18 - 21; *Furrer v. Brown*, Pet. Rep. at

A-12.

Indeed, as this Court has observed, the legislative history of the 1984 amendments to the RCRA citizen suit provision further indicates that Congress intended the section to enhance the enforcement of RCRA regulations, that is, the regulation of hazardous waste, and did not intend to give citizens a cause of action for recovery of costs incurred for the cleanup of hazardous waste sites when regulation has failed:

"[T]he legislative history indicates an intent to strike a balance between encouraging citizen enforcement of environmental regulations and avoiding burdening the federal courts with excessive numbers of citizen suits."

Hallstrom, supra, 493 U.S. at 29.

The fourth consideration under *Cort* is whether the implied cause of action is one that is traditionally relegated to the states, such that it would be inappropriate to infer a cause of action based solely on federal law. Causes of action for recovery of cleanup costs or restitution have been developed by state common law courts and by courts of equity for several centuries. See G. Palmer, *The Law of Restitution* §§ 1.1-1.8 (1978); D. Dobbs *Remedies* §§ 4.2-4.3 (1973). Common law courts of general jurisdiction, such as those of the states, have developed and have power to further develop causes of action for recovery of cleanup costs. The California courts to which KFC first turned for relief are an able example. KFC pled fully nine different causes of action in

state court before filing this federal action.¹⁸ This task is in fact uniquely suited to the state courts. Moreover, the duties of a property owner to a successor in title are matters historically determined by state law, and it would thus be inappropriate to imply a cause of action based solely on federal law.

B. This Court's Decision In The *Sea Clammers* Case Reaffirms The Unavailability Of An Implied Right Of Action For Damages Under RCRA

The issue of implied rights of action in a similar context was addressed by this Court in *Middlesex County Sewerage Auth. v. National Sea Clammers Assn.*, 453 U.S. 1 (1981). In *Sea Clammers*, the respondent Association urged this Court to imply a private cause of action for damages in the FWPCA and the Marine Protection, Research, and Sanctuaries Act of 1972 ("MPRSA").

This Court first noted that both the FWPCA and MPRSA "contain unusually elaborate enforcement provisions" providing causes of action both to the government and to private citizens. The Court further reasoned that Congress intended such painstakingly defined remedies to be exclusive:

"In view of these elaborate enforcement provisions it cannot be assumed that Congress intended to authorize by implication additional judicial remedies for private citizens suing under MPRSA and FWPCA. As we [have] stated, 'it is an elemental canon of statutory

¹⁸ Only one cause of action was determined to have failed to state a claim for relief. Six of the remaining eight may have stated a claim for relief but were barred by the applicable statutes of limitations.

construction that where a statute expressly provides a particular remedy or remedies, a court must be chary of reading others into it.' In the absence of strong indicia of a contrary congressional intent, we are compelled to conclude that Congress provided precisely the remedies it considered appropriate."

453 U.S. at 14-15 (citations omitted).

This Court further determined that the legislative history of both the FWPCA and the Clean Air Act mandated this conclusion and concluded that:

"Both the structure of the Acts and their legislative history lead us to conclude that Congress intended that private remedies in addition to those expressly provided should not be implied. Where, as here, Congress has made clear that implied private actions are not contemplated, the courts are not authorized to ignore this legislative judgment."

453 U.S. at 18.

The remedies afforded by RCRA are equally as elaborate as those in the MPRSA and the FWPCA. RCRA authorizes the EPA to respond to violations of the statute with compliance orders, civil suits, and such orders as may be necessary to protect public health and the environment. See 42 U.S.C. § 6973; 42 U.S.C. § 6928. The EPA may assess penalties for violations of Subtitle C (42 U.S.C. § 6921 *et seq.*) for noncompliance, and may assess penalties for failure to comply with an EPA Order issued pursuant to 42 U.S.C. § 6973 and 42 U.S.C. § 6928(a). Criminal penalties are available under 42 U.S.C. § 6928(d). In addition, any citizen

may file suit against the EPA where there is an alleged failure of the EPA to perform any non-discretionary act or duty under 42 U.S.C. § 6972(a)(2).

There is, then, no justification for implying a damages right of action under RCRA when measured by the standards set forth in this Court's decisions in *Cort v. Ash* and *Sea Clammers*.

VI. The Analysis Of The Ninth Circuit, Which Relies Heavily On Parallels Between Sections 6972 And 6973 And On Eighth Circuit Precedents, Does Not Withstand Scrutiny

In the case below, the Ninth Circuit noted that section 6973 of RCRA is worded similarly to the RCRA citizen suit provision. Section 6973 is the governmental imminent endangerment provision of RCRA and allows EPA to bring suit against any person who has caused or contributed to a solid or hazardous waste problem that may present an imminent and substantial endangerment to health or the environment.

The Ninth Circuit interpreted two Eighth Circuit precedents to stand for the proposition that EPA could recover costs expended in cleaning up a solid waste site pursuant to section 6973. *United States v. Aceto Agric. Chem. Co.*, 872 F.2d 1373 (8th Cir. 1989); *United States v. Northeastern Pharmaceutical & Chem. Co.*, ("NEPACCO") 810 F.2d 726 (8th Cir. 1986) cert. denied 484 U.S. 848 (1987). Relying on the similarity in language between sections 6972 and 6973 and its reading of these two Eighth Circuit opinions, the Ninth Circuit concluded that the RCRA citizen suit provision should be read to include a cost recovery remedy.

But the Ninth Circuit's reliance on those precedents

was seriously misplaced. The Eighth Circuit did not actually decide the issue of the recoverability of governmental response costs in *Aceto* and *NEPACCO*. The Eighth Circuit itself expressly reaffirmed that fact after it read the Ninth Circuit's *KFC Western* decision:

"We think, however, that the [Ninth Circuit] began with a questionable proposition and then mistakenly reached its result in reliance on cases from this Circuit that, when carefully analyzed, do not support the *KFC Western* decision."

Furrer v. Brown, Pet. Rep. at A-17.

The "questionable proposition" referred to by the Eighth Circuit was the Ninth Circuit's misinterpretation of a key portion of the legislative history of RCRA in support of its contention that Congress intended to give private citizens the right to recover money damages. *Id.* at A-18 to A-19. The Eighth Circuit further opined that:

"From an arguably faulty premise, then, the [Ninth Circuit] goes on to misconstrue two Eighth Circuit opinions involving governmental plaintiffs and to conclude that § 6972 authorizes the recovery of cleanup costs by private plaintiffs. *In the two cases from this circuit upon which the KFC Western court relies, the issue of whether cleanup costs may be recovered in a governmental action under § 6973(a) was never before this Court.*

Id. at A-19. (emphasis added).

The Eighth Circuit went on to explain, as we review next, how it never considered the issue of governmental entitlement to recovery of cleanup costs under § 6973(a) in *NEPACCO* and *Aceto*. But in any event, as we discuss in the final section of this Brief, an analysis of section 6973 is not directly transferable to section 6972.

A. The Eighth Circuit Did Not Reach The Issue Of the Governmental Right To Recover Cleanup Costs Under Section 6973

The Eighth Circuit corrected the Ninth Circuit's misreading of *NEPACCO* and *Aceto* in *Furrer v. Brown*. Pet. Rep. at A19-A20:

[In *NEPACCO*], the United States in a cross-appeal challenged the district court's refusal to award "response costs" under § 6973(a), a decision made because the court believed the statute required a showing of negligence and the government had made none. The Eighth Circuit reversed that holding on the negligence issue, *but never made a finding that the recovery of response costs was available to the government under § 6973* in the first instance, apparently because the jurisdiction of the district court to award the recovery of such costs under RCRA was unchallenged. The issue may have been overlooked because many of the costs sought by the government were explicitly recoverable as response costs under CERCLA.

In *Aceto*, the RCRA claim for "response costs" had been dismissed by the district court on the basis of its conclusions concerning the

"imminent and substantial endangerment" and the "contributed to" language found in § 6973(a). The Eighth Circuit reversed and remanded for further proceedings, *but again never addressed whether the remedy sought was authorized by § 6973.*

Furrer, Pet. Rep. at A19 (emphasis added).

Thus, the very Court of Appeals that issued the opinions in *Aceto* and *NEPACCO*, has unequivocally concluded that it has not decided the issue of the recoverability of response costs under section 6973.

Indeed, it bears noting that the text of Section 6973 is identical or similar to enforcement provisions in other federal environmental statutes. The analogous provisions of the Clean Air Act, CERCLA and the Clean Water Act do not authorize recovery of monetary damages. Injunctive relief and civil penalties are the only available remedies. *See Gwaltney of Smithfield v. Chesapeake Bay Foundation*, 484 U.S. 49, 61-2 (1987) (Clean Air Act and Clean Water Act citizen suit provisions); *United States v. Jones & Laughlin Steel Corp.*, 804 F.2d 348, 351 (6th Cir. 1986) (Clean Air Act); *Gutierrez v. Mobil Oil Corp.*, 798 F.Supp. 1280, 1285 (W.D. Tex. 1992).

For example, the Clean Air Act contains language virtually identical to Section 6973 of RCRA:

"to immediately *restrain* any person causing or contributing to the alleged pollution to stop the emission of air pollutants causing or contributing to such pollution *or to take such other action as may be necessary.*" (emphasis

added).

42 U.S.C. § 7603.

This Court and others have consistently held that monetary damages are unavailable pursuant to *any section* of the Clean Air Act. *See Gwaltney*, 484 U.S. at 61-62; *Jones & Laughlin Steel*, 804 F.2d at 351; *Gutierrez v. Mobil Oil Corp.*, 798 F.Supp. 1280, 1285 (W.D. Tex. 1992).

B. The Governmental Suit Provision (Section 6973) is Distinct From The Citizen Suit Provision (Section 6972)

The Ninth Circuit's analysis is based on the premise that: "[n]othing indicates that Congress intended citizen suits [under section 6972] to serve a purpose different from that served by governmental actions [under section 6973]." Pet. App. A7 n.3. This premise is belied by the statute itself. The RCRA citizen suit provision contains a bar to action if the government is proceeding with enforcement activities. The RCRA citizen suit also contains a notice provision that allows the government to intervene, thus eliminating the need for a citizen suit. *See, Hallstrom*, 493 U.S. at 29; *Gwaltney*, 484 U.S. at 60.

The very committee report that the Ninth Circuit references makes the point very clearly:

"The committee believes [the] expansion of the citizen suit provision will *complement...* the Administrator [of EPA's] efforts to eliminate threats as to public health and the environment, particularly where the Government is unable to take action because of inadequate resources."

H.R. Rep. No. 198, 98th Cong., 2d Sess., pt. I, 53 (1963) *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612 *quoted at* Pet. App. A7 n.3. Moreover, as this Court has repeatedly noted, citizen suits are intended to supplement and not supplant governmental action. *Gwaltney*, 484 U.S. at 60.

Thus, the Ninth Circuit's premise is erroneous. In fact, the statutory language and legislative history overwhelmingly indicate that Congress intended citizen suits to serve a *very different purpose* from that served by governmental actions. Thus, although the language of the citizen suit provision in section 6972 is virtually identical to the language of the imminent hazard provision in section 6973, it does not necessarily follow that the construction of the two sections must be identical.

For example, the differing purposes of the two sections in the context and structure of RCRA could lead to different conclusions regarding the remedies provided by each section. In addition, the intent of Congress as expressed in the legislative history could differ as to the two sections. Finally, the *Cort* analysis as applied to the two sections could lead to different conclusions as to the remedies provided. The Ninth Circuit's apparent conclusion that, because the sections are worded virtually identically they must be construed identically glosses over several important steps in the statutory analysis.

In sum, the analysis of the Ninth Circuit, which relies heavily on a misreading of two Eighth Circuit precedents and on parallels between the RCRA citizen suit provision and section 6973, does not withstand scrutiny.

CONCLUSION

The judgment of the Court of Appeals for the Ninth Circuit should be reversed. The opinion of the Ninth Circuit should be vacated and the case dismissed.

Dated: November 9, 1995.

Respectfully submitted,

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SUPERIOR COURT OF THE STATE OF CALIFORNIA
 FOR THE COUNTY OF LOS ANGELES

KFC WESTERN, INC.,	)	CASE NO. BC 043874
	)	
Plaintiff,	)	AMENDED ORDER WITH
	)	FINDINGS OF FACT
vs.	)	AND CONCLUSIONS OF
	)	LAW
ALAN MEGHRIG and	)	
MARGARET MEGHRIG)	)	
and DOES 1-10,	)	
	)	
Defendants.	)	
_____	)	

(Filed Aug. 21, 1995)

PLEASE TAKE NOTICE that the Motion for Summary Judgment of Defendants Alan Meghrig and Margaret Meghrig (the "Meghrigs") in the above-captioned matter came on regularly for hearing at 8:30 a.m. on July 11, 1995 before the Honorable Stephen E. O'Neil in Department 46 of the above-entitled Court. John P. Zaimes of McClintock, Weston, Benshoof, Rochefort, Rubalcava & MacCuish appeared on behalf of defendants and moving parties, the Meghrigs; Daniel Romano

appeared on behalf of plaintiff and responding party KFC Western, Inc.

After considering the papers filed in support of, and in opposition to, the Meghriks' Motion for Summary Judgment, and the oral argument of counsel, the Court makes the following findings of facts and conclusions of law and grants summary judgment in favor of defendants.

FINDINGS OF FACT

1. Plaintiff is the owner of real property located at 340 North Western Avenue in Los Angeles, California (the "Subject Property"). (Defendants' Undisputed Fact No. 1.)

2. The Meghriks took title to the Subject Property in March 1963. (Defendants' Undisputed Fact No. 2.)

3. The Meghriks never owned a gasoline service station business on the Subject Property. (Defendants' Undisputed Fact No. 3; Defendants' Objections to Plaintiff's Response to Fact No. 3.)

4. The Meghriks never operated a gasoline service station located on the Subject Property. (Defendants' Undisputed Fact No. 4.)

5. A service station did not operate on the Subject Property during the period of the Meghriks' ownership. (Defendants' Undisputed Fact No. 5.)

6. The Meghriks took no part in the management of the Subject Property during the 1960s. (Defendants' Undisputed Fact No. 6.)

7. The Meghriks never undertook any acts which caused gasoline contamination on the Subject Property. (Defendants' Undisputed Fact No. 7.)

8. There was a gasoline service station on the Subject Property from 1917 until 1962, prior to the property's ownership of the Meghriks. (Defendants' Undisputed Fact No. 8.)

9. Underground storage tanks on the Subject Property were replaced in 1951. (Defendants' Undisputed Fact No. 9.)

10. Underground storage tanks on the Subject Property were completely removed in December 1964. No tanks were placed on the Subject Property thereafter. (Defendants' Undisputed Fact No. 12.)

11. A strip mall was constructed on the Subject Property in 1965. Plaintiff leased a portion of the strip mall from the Meghriks from May 1965 to the time the Subject Property was sold to plaintiff in 1975. (Defendants' Undisputed Fact No. 10.)

12. Plaintiff discovered the contamination on the Subject Property on or about October 26, 1988. (Defendants' Undisputed Fact No. 11.)

13. Plaintiff completed its cleanup of the Subject Property on or before March 12, 1989. (Defendants' Undisputed Fact No. 13.)

14. Plaintiff filed its initial complaint in this matter on December 9, 1991. (Defendants' Undisputed Fact No. 14.)

15. There is no evidence that plaintiff suffered any actual damage arising out of the contamination of groundwater after December 1, 1988. In fact, plaintiffs' own evidence shows that the groundwater beneath the Subject Property contained less than action level amounts of contaminants in 1988, and no groundwater cleanup was necessary. (Defendants' Undisputed Fact No. 15; Defendants' Objections to Plaintiffs' Response to Fact No. 15.)

16. There is no evidence that plaintiff suffered any actual damage arising out of soil contamination after December 1, 1988. In fact, plaintiffs' own evidence shows that the soil contamination at the Subject Property had naturally biodegraded over time and was decreasing during the 1980s. (Defendants' Undisputed Fact No. 16; Defendants' Objections to Plaintiffs' Response to Fact No. 16.)

17. There is no evidence that the Meghrips had either actual or constructive knowledge of contamination on the Subject Property. (Defendants' Objections to Plaintiffs' Fact No. 17.)

CONCLUSIONS OF LAW

1. Having presented no evidence that the Meghrips engaged in any acts, or tortiously omitted to undertake any act, which resulted in contamination of the Subject Property, plaintiff KFC Western, Inc.'s causes of action for continuing public nuisance, private nuisance and trespass fail as a matter of law. *Newhall Land & Farming v. Superior Court*, 19 Cal.App.4th 334, 345, 23 Cal.Rptr. 2d 377, 383 (1993); *RTC v. Rossmoor Corp.*, 34 Cal.App.4th 93 (1995);

Lussier v. San Lorenzo Valley Water District, 206 Cal.App.3d 92, 100, 253 Cal.Rptr. 470 (1988).

2. Having presented no evidence that it suffered any damage within the applicable three-year limitations period, plaintiff KFC Western, Inc.'s causes of action for continuing public nuisance, private nuisance and trespass fail as a matter of law. *Capogeannis v. Superior Court*, 12 Cal.App.4th 668, 676, 15 Cal.Rptr.2d 796 (1993).

3. The money expended by plaintiff to clean up the Subject Property does not constitute damage to the property arising out of nuisance or trespass. *CAMSI IV v. Hunter Technology Corporation*, 230 Cal.App.3d 1525, 282 Cal.Rptr. 80 (1991).

4. Civil Code Section 3483 does not provide a mechanism for a current owner of property to recover costs it expends in abating a nuisance on its property from the immediately preceding owner where the immediately preceding owner did not engage in any acts or omissions which resulted in the creation of the nuisance. *Leslie Salt Co. v. San Francisco Bay Cons. & Dev. Comm.*, 153 Cal.App.3d 605, 200 Cal.Rptr. 575 (1989); *People v. Southern Pacific Co.*, 150 Cal.App.2d Supp. 831, 311 P.2d 200 (1957).

5. To the extent that Civil Code Section 3483 may provide a mechanism for a current owner of property to recover its costs expended in abating a nuisance on its property from a prior owner, recovery may be had only if the prior owner knew of the existence of the nuisance. Since KFC has presented no competent evidence that the Meghrips knew of the existence of contamination on the

[illegible]

I am employed in the County of Los Angeles, State of California. I am over the age of 18 and not a party to the within action; my business address is 444 South Flower Street, Forty-Third Floor, Los Angeles, California 90071.

On August 3, 1995, I served the foregoing document(s) described as **AMENDED ORDER WITH FINDINGS OF FACT AND CONCLUSIONS OF LAW** on the interested parties in this action by placing a true copy thereof enclosed in a sealed envelope addressed as follows:

STEPHEN E. O'NEIL
JUDGE OF THE
SUPERIOR COURT

Daniel Romano, Esq.
100 Wilshire Boulevard
Suite 1300
Santa Monica, California 90401

X I placed such envelope with postage thereon fully prepaid in the United States mail at Los Angeles, California.

X I am "readily familiar" with the firm's practice of collection and processing correspondence for mailing. Under that practice, it would be deposited with U.S. postal service on that same day with postage thereon fully prepaid at Los Angeles, California in the ordinary course of business. I am aware that on motion of the

party served, service is presumed invalid if postal cancellation date or postage meter date is more than one day after date of deposit for mailing in affidavit.

☐ I sent such document(s) by Federal Express/UPS Air.

☐ I delivered such envelope by hand to the offices of the addressees.

☒ I declare under penalty of perjury under the laws of the State of California that the above is true and correct.

☐ I declare that I am employed in the office of a member of the bar of this court at whose direction the service was made.

Executed on August 3, 1995, at Los Angeles, California.

/s/ Alicia D. Araneta
Alicia D. Araneta
